32.0% of BlackRock BUIDL's Assets Entered DeFi Without Anyone Pushing. What This Tells GS DAP.

■■■■BUIDL■32.0%■■■■■■■■■DeFi■
■■■■GS DAP■■■

Decision Support Analysis for Goldman Sachs Digital Asset Platform

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Executive Summary

Goldman Sachs Digital Asset Platform (GS DAP) faces a strategic decision regarding public chain integration following its November 2024 independence announcement. Private chain architectures cannot observe what institutional clients do with tokenized assets once deployed to public chains. BlackRock's BUIDL token provides the only mature case study of institutional tokenized assets operating on public Ethereum with DeFi integration. This analysis examines 56 BUIDL holders ($171.8M AUM) to inform GS DAP's strategic framework.

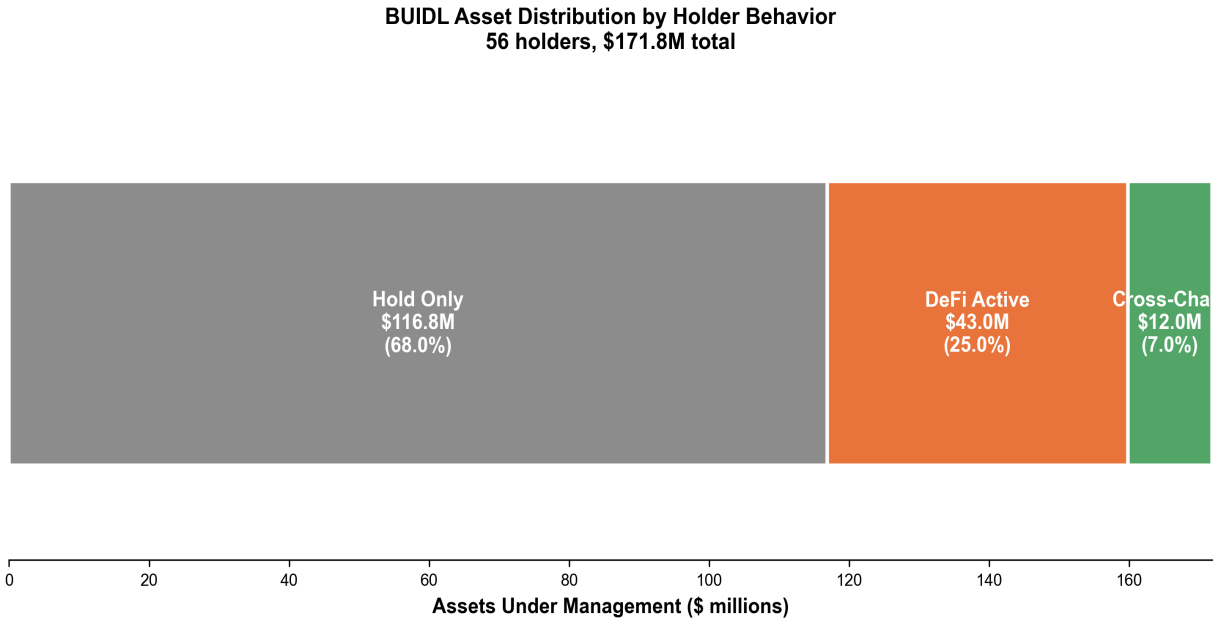
Key Finding	Metric	Implication
Organic DeFi Demand	32.0% of assets	Measurable client appetite for DeFi utility beyond custody
Counterparty Credibility	89.7% average score	Established protocols show institutional-grade quality
Permission Boundary	85.7% Ethereum retention	Whitelist controls location, not interaction depth

Conclusion: If GS DAP enables public chain deployment, expect similar organic DeFi engagement (~30-35% of assets). Decision framework should incorporate counterparty risk surveillance, cross-chain leakage mitigation, and regulatory perimeter management. This methodology scales to ongoing monitoring of any tokenized asset on public chains.

1. Organic DeFi Demand: Client-Driven Utility Seeking

Analysis of BUIDL's 56 holders reveals that **32.0% ($55.0M)** of assets self-selected DeFi or cross-chain deployment *without issuer direction*. This represents measurable, organic demand for yield generation, liquidity provision, and cross-chain utility.

Behavior Type	Addresses	Value ($ millions)	% of Total
Hold in Custody Only	36	$116.8	68.0%
DeFi Active (Ethereum)	12	$43.0	25.0%
Cross-Chain Migration	8	$12.0	7.0%

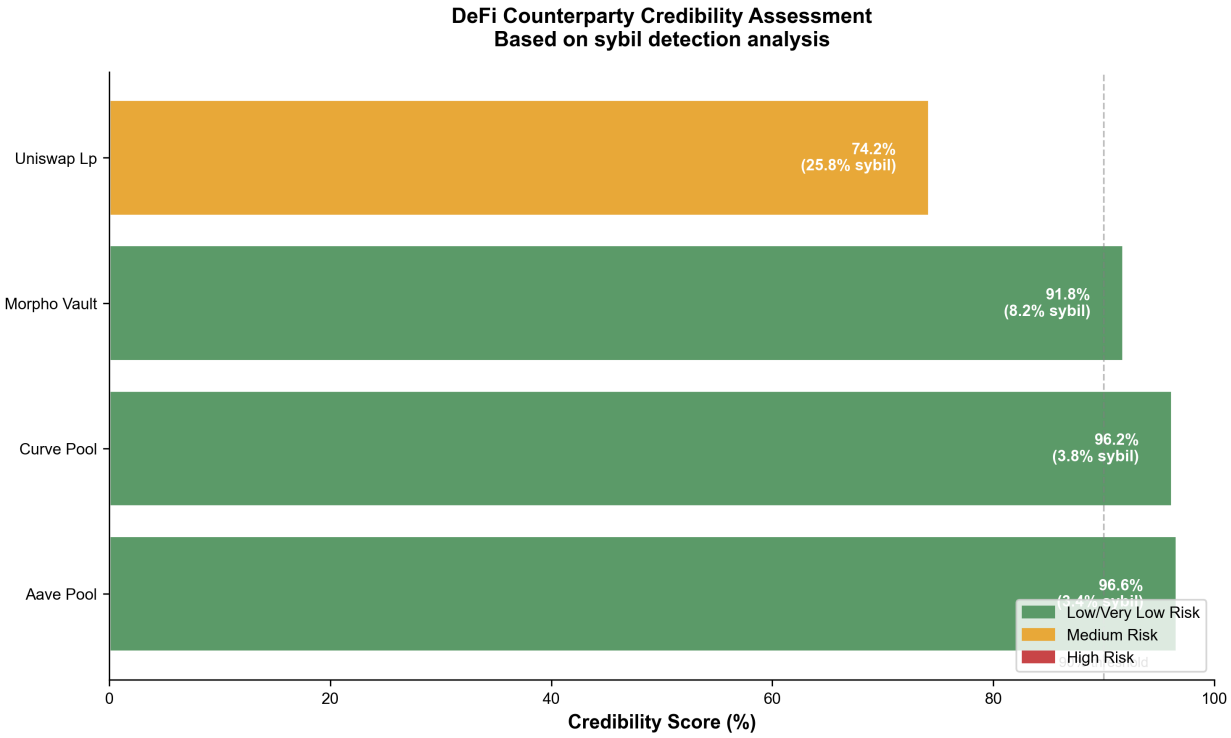


32% of assets self-selected DeFi/cross-chain utility

Implication for GS DAP: Institutional clients demonstrate measurable appetite for DeFi efficiency beyond static custody. Permissioned architecture should accommodate—not block—this demand. Expect 30-35% of GS DAP assets to seek DeFi utility if public chain deployment is enabled.

2. DeFi Counterparty Credibility: Sybil Detection Analysis

Sybil detection analysis of 626 DeFi counterparties across major protocols reveals **89.7% average credibility**. Established protocols (Aave, Curve, Morpho) demonstrate institutional-grade counterparty quality with <4% sybil rates. Newer market-making venues (UniswapX) show elevated clustering requiring additional due diligence.



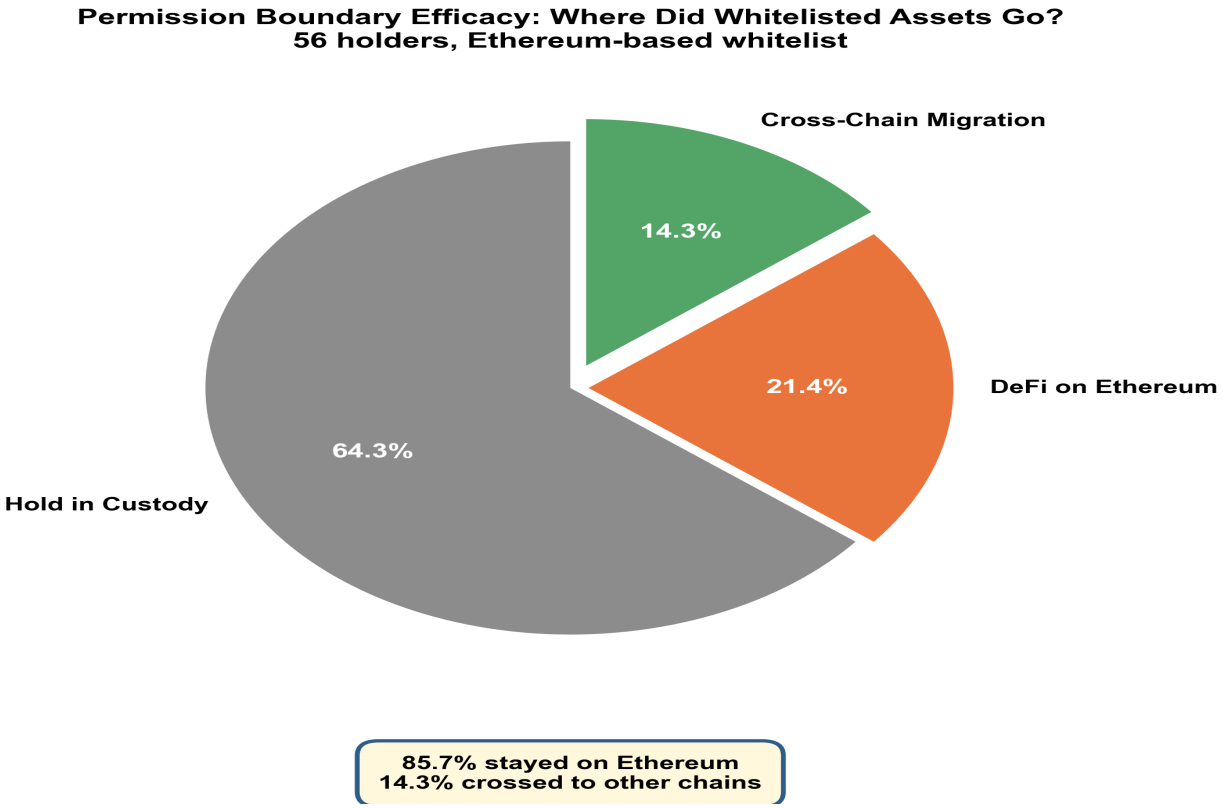
Key Findings:

- Established protocols (Aave, Curve) show <4% sybil rates
- UniswapX market makers show elevated clustering (25.8% sybil rate)
- Institutional funding sources dominate in Morpho/Aave
- 90% overall counterparty credibility across DeFi interactions

Implication for GS DAP: Counterparty risk is quantifiable and manageable. Established DeFi protocols show institutional-grade credibility. However, ongoing surveillance is required—newer venues may have elevated sybil clustering. This methodology enables continuous monitoring.

3. Permission Boundary Efficacy: Whitelist Control Scope

Whitelist mechanisms retained **85.7%** of BUIDL assets on Ethereum mainnet. However, 14.3% crossed to other chains (some with weaker regulatory frameworks), and 21.4% engaged DeFi protocols while remaining whitelisted. *Permissioning controls location but not interaction depth.*



Key Findings:

- Whitelist retained 85.7% of assets on Ethereum
- 14.3% crossed to other chains (some less regulated)
- 21.4% engaged DeFi while staying on-chain
- Permission mechanism controls location but not DeFi interaction depth

Implication for GS DAP: Whitelisting provides geographic retention (85.7% stayed on Ethereum) but limited control over DeFi interaction depth or cross-chain migration. If GS DAP enables public chain deployment, expect ~15% cross-chain leakage and 20-30% DeFi engagement. Regulatory perimeter becomes porous once assets are tokenized on public chains.

Strategic Implications for GS DAP

BUIDL On-Chain Behavior: Strategic Summary for GS DAP

32.0%

of assets entered DeFi organically

$54.9M self-selected DeFi utility

89.7%

average counterparty credibility score

626 unique DeFi counterparties

85.7%

stayed on Ethereum (whitelist retention)

14.3% migrated cross-chain

56

unique holders $171.8M AUM

As of March 3, 2026

1. Organic DeFi Demand: 32.0% of Assets

Institutional clients demonstrate measurable appetite for DeFi efficiency beyond static custody. Permissioned architecture should accommodate, not block, this demand.

2. DeFi Counterparty Credibility: 89.7%

Established DeFi protocols (Aave, Curve) show institutional-grade counterparty quality. Newer venues (UniswapX) require additional due diligence.

3. Permission Boundary Efficacy: 85.7% Retention

Permissioning controls location but not interaction depth. Cross-chain migration (14.3%) suggests regulatory perimeter is porous once assets are tokenized on public chains.

4. Structural Insight: Public Chain Visibility Gap

If GS DAP issues on public chains (or allows bridging), expect similar organic DeFi engagement. Decision framework should price in counterparty risk, cross-chain leakage, and regulatory perimeter porosity.

Methodological Note: This analysis is based on the BUIDL single case study, the only mature example of institutional tokenized assets operating on public Ethereum with DeFi integration. The methodology—combining on-chain behavior classification, sybil detection,

and permission boundary analysis—scales to ongoing monitoring of *any* tokenized asset on public chains. As GS DAP evaluates public chain strategy, this framework enables data-driven assessment of counterparty risk, regulatory perimeter integrity, and organic client demand signals.